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COLLECTION · BUYERS

Mortgage Pre-Approval, Decoded

Understand, prepare for and secure strong financing

2026 EDITION

READ BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

Mortgage Pre-Approval, Decoded · Collection Buyers · Guide No. 03 · 2026 Edition

COLLECTION BUYERS · GUIDE NO. 03

Mortgage Pre-Approval, Decoded

Understand, prepare for and secure strong financing

Mortgage pre-approval is the most misunderstood step of a first purchase — and yet one of the most decisive. Done well, it gives you a clear amount, a guaranteed rate and real credibility with sellers.

This guide demystifies every part: what the lender looks at, how it calculates your capacity, what the famous “stress test” is, and how a mortgage broker can work for you.

After each chapter, the “My notes” section helps you prepare your file and spot anything that could weaken it.

Pre-approval is the first stone of a worry-free purchase: it turns a vague “I'm looking for a house” into a clear, credible budget. This guide breaks down the jargon, explains what the lender really looks at, and helps you present a solid file.

Rates and thresholds change constantly: the benchmarks in this guide (2026 edition) are there to explain the logic, not to replace an up-to-date simulation with your mortgage broker.

CHAPTER

Pre-qualification vs pre-approval

> *Telling an informal estimate apart from a firm, quantified commitment.*

Pre-qualification is a quick calculation, based on what you declare, with no verification: useful to get an idea, but with no binding value. Pre-approval, on the other hand, rests on an analysis of your documents: the lender confirms an amount and guarantees a rate for a set period (often 90 to 120 days).

It's the latter that counts: it tells you precisely which price range to shop in, and it reassures sellers and brokers about the seriousness of your offer.

In practice, pre-approval gives you a maximum amount AND a guaranteed rate for a period (often 90 to 120 days). It reassures the seller, speeds up your offer and keeps you from shopping above your means. Renew it if your search runs past its validity.

> EMILIE'S TIP
>
> *Never confuse a “number over the phone” with a written pre-approval. Only the document, backed by your paperwork, carries weight when it's time to make an offer.*

CHAPTER

What the lender really looks at

> *Understanding the three pillars of a file: income, debts, credit.*

The debt ratios

The lender calculates two ratios. The GDS (gross debt service) ratio compares your housing costs (mortgage, taxes, heating, share of condo fees) to your gross income: ideally 32 to 39%. The TDS (total debt service) ratio adds all your other debts (car, cards, lines of credit, student loans): generally capped around 40 to 44%.

Credit

- A score of 680 and up generally opens better rates.
- Always pay on time; a single late payment can weigh heavily.
- Keep your card usage under 30% of the limit.
- Avoid opening new credit just before and during the process.

Reducing consumer debt before buying often improves your borrowing capacity more than a few hundred dollars of extra savings.

The lender also adds up your other debts (car, lines of credit, cards, student loans): even a modest balance repaid each month reduces your capacity, because it's the minimum payment that counts. Paying off a card debt before buying often raises your buying power faster than saving a few thousand dollars more.

> EMILIE'S TIP
>
> *Paying off a high-interest credit card before buying kills two birds with one stone: you save on interest AND you increase the amount they'll agree to lend you.*

CHAPTER

The stress test

> *Understanding why you're qualified at a rate higher than your own.*

Lenders must verify that you could keep paying if rates rose. So they qualify you at a “qualifying rate” higher than your actual rate. As a result, the pre-approved amount is sometimes more conservative than you'd hoped.

It's not a punishment, but a safety margin. It protects you against a scenario where a rate increase at renewal would make your payments unsustainable. Buy with that margin in mind, not just today's rate.

The stress test explains why your pre-approval may seem “cautious”: you're qualified at a rate higher than yours to check that you could handle an increase. It's not a punishment, but a protection — and a good reason to keep a comfort margin below your theoretical maximum.

> EMILIE'S TIP
>
> *Do the mental exercise: “what if my rate went up 2% at renewal?” If the payment scares you, buy a little below your maximum. Peace of mind is priceless.*

CHAPTER

Mortgage broker or your bank?

> *Choosing the right channel to get the best financing.*

A mortgage broker shops several lenders (banks, credit unions, specialized lenders) and negotiates for you — often at no cost to the borrower, since they're paid by the chosen lender. Your bank, on the other hand, only offers its own products, but may offer perks to loyal clients.

- Broker: more choice, useful if your file is atypical (self-employed, variable income).
- Institution: simplicity, an existing relationship, sometimes “client” discounts.
- In every case: compare the rate, but also the conditions (prepayment penalties, flexibility, portability).

A mortgage broker compares several lenders at once and knows their criteria; your institution only offers its own products but may reward your loyalty. In both cases, compare the rate AND the conditions (penalties, portability, accelerated payments), because the lowest rate isn't always the best loan.

> EMILIE'S TIP
>
> *The lowest rate isn't always the best loan. A poorly designed prepayment penalty can cost thousands of dollars if your life changes. Read the conditions, not just the number.*

CHAPTER

Documents, validity and pitfalls to avoid

> *Preparing a complete file and not weakening it before the notary.*

The documents to gather

- Proof of income: pay stubs, notices of assessment, T4s; financial statements if self-employed.
- Proof of down payment: RRSP/FHSA/account statements, gift letter if applicable.
- ID and a list of your current debts.

Don't sabotage your file

Between pre-approval and signing at the notary, avoid anything that changes your risk profile: don't change jobs unnecessarily, don't buy a car on credit, don't open new cards, don't make large unexplained withdrawals. The lender often re-checks your situation before the final disbursement.

A classic trap: changing your financial situation between pre-approval and signing (changing jobs, buying a car, opening a new card, making a large undocumented transfer). Any change can trigger a re-assessment — or even a refusal — of your file. Keep your finances stable until you reach the notary.

> EMILIE'S TIP
>
> *After your pre-approval, put your financial life “on pause” until you get the keys: same income, same debts, same accounts. A newly financed car can derail the house purchase.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Check my credit score for free and correct any errors.
2. Gather my proof of income and down payment.

Within 30 days

1. Meet a mortgage broker and a bank, then compare.
2. Get a written pre-approval and note its expiry date.

Next

1. Shop in my confirmed range and keep my financial situation stable until the notary.

To strengthen my file

1. Pay off or reduce my card balances before applying.
2. Avoid any new borrowing and keep my job stable until signing.

REFERENCES

Resources & glossary

- GDS: housing costs ÷ gross income (ideally 32-39%).
- TDS: all debts ÷ gross income (cap ~40-44%).
- Qualifying rate: higher rate used for the stress test.
- Mortgage broker: intermediary who shops several lenders, often at no cost to the borrower.
- Prepayment penalty: cost to repay or break a loan before term.

- GDS / TDS: debt ratios (housing only / all debts included).
- Qualifying rate: (higher) rate used for the stress test.
- Down payment: the part paid in cash; under 20%, loan insurance is added.
- Portability: the ability to transfer your loan to another property.
- Prepayment penalty: cost to break or repay before the end of the term.

GOING FURTHER

Quiz — test your knowledge

1. The key difference between pre-qualification and pre-approval is:

A) None

B) Pre-approval rests on verification of your documents

C) Pre-qualification guarantees a rate

D) Pre-approval is verbal

2. The GDS ratio measures:

A) All your debts

B) Your housing costs ÷ gross income

C) Your credit score

D) The value of the house

3. A good credit score generally starts at:

A) 300

B) 500

C) 680

D) 900 required

4. The stress test qualifies you at:

A) Your actual rate

B) A rate higher than the actual rate

C) A rate of 0%

D) The Bank of Canada rate only

5. A mortgage broker is most useful when:

A) Your file is atypical and you want several options

B) You want no choice

C) You refuse to provide documents

D) You have no income

6. When comparing two loans, you should look at:

A) Only the rate

B) The rate AND the conditions (penalties, flexibility)

C) The colour of the bank

D) The advisor's name

7. After pre-approval, you should avoid:

A) Keeping the same job

B) Buying a car on credit

C) Paying your bills

D) Keeping your accounts

8. Proof of down payment can include:

A) A photo of the house

B) RRSP/FHSA statements and a gift letter

C) The location certificate

D) The seller's lease

9. Pre-approval generally stays valid:

A) 1 day

B) 90 to 120 days

C) 5 years

D) Forever

10. Reducing a card debt before buying:

A) Has no effect

B) Can increase your borrowing capacity

C) Lowers your score

D) Is prohibited

Answer key

1. B — Only pre-approval, backed by your paperwork, commits the lender (ch. 1).

2. B — The GDS ratio isolates housing costs (ch. 2).

3. C — 680+ usually opens better rates (ch. 2).

4. B — It's a safety margin against rate increases (ch. 3).

5. A — They shop several lenders for you (ch. 4).

6. B — Penalties can be very costly (ch. 4).

7. B — New credit can derail the final financing (ch. 5).

8. B — The lender wants to trace the source of the funds (ch. 5).

9. B — The rate is guaranteed for that window (ch. 1).

10. B — It improves your ratios and often your score (ch. 2).

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Thank you for reading. May this guide help you decide with confidence, with all the information in hand.